BASE EFFECT

It refers to the impact of the rise in price level (i.e. last year's inflation) in the previous year over the corresponding rise in price levels in the current year (i.e., current inflation). If the price index had risen at a high rate in the corresponding period of the previous year, leading to a high inflation rate, some of the potential rise is already factored in, therefore, a similar absolute increase in the Price index in the current year will lead to a relatively lower inflation rates. On the other hand, if the inflation rate was too low in the corresponding period of the previous year, even a relatively smaller rise in the Price Index will arithmetically give a high rate of current inflation. For example:

	Price Index				Inflation		
	2007	**2008**	**2009**	**2010**	**2007**	**2008**	**2009**
Jan	100	120	140	160	20	16.67	14.29

The index has increased by 20 points in all the three years – 2008, 2009, 2010. However, the inflation rate (calculated on 'year-on-year' basis) tends to decline over the three years from 20 per cent in 2008 to 14.29 per cent in 2010. This is because the absolute increase of 20 points in the price index in each year increases the *base year price index* by an equivalent amount, while the absolute increase in price index remains the same. The 'year-on-year' inflation is calculated by the formula –

Current Inflation Rate = [(Current Price Index – Last year's Price Index)] ÷ Last year's Price Index] x 100

EFFECTS OF INFLATION

There are multi-dimensional effects of inflation on an economy both at the micro and macro levels. It redistributes income; distorts relative prices; destabilises employment, tax, saving and investment policies and finally it may bring in recession and depression in an economy. We may have a brief and objective look on the effects of inflation as given below: